

TOPIC 8: PRODUCTION I

1. Meaning of Production

Production is the process of creating goods and services to satisfy human wants. It involves turning raw materials into finished products or providing useful services. Anything that adds value and makes a commodity more useful is part of production.

2. Stages / Types of Production

a) Primary Production – extraction of natural resources from nature (farming, fishing, mining, lumbering).

b) Secondary Production – processing of raw materials into finished or semi-finished goods (manufacturing, construction, food processing).

c) Tertiary Production – provision of services (transport, banking, teaching, trading, medical care, entertainment).

3. Effects of Production on Society

- Provides goods and services that improve the standard of living
- Creates employment and income
- Encourages specialisation and skills development
- Generates revenue for government through taxes
- Promotes economic growth and development

4. Effects of Production on the Environment

- Can cause pollution (air, water, land) if not controlled
- May lead to deforestation and depletion of natural resources
- Industrial waste can harm ecosystems
- Sustainable production methods help protect the environment

5. Summary

Production is the creation of goods and services. It has three stages: primary (extraction), secondary (manufacturing) and tertiary (services). Production benefits society by providing jobs and goods, but it must be managed carefully to protect the environment.

End of Topic 8 – Production I

— End of JSS 1 Business Studies First Term Notes —